Strategic report

Chief Executive's review

The group delivered a resilient performance in a challenging market, supported by a strong balance sheet and disciplined capital allocation. The board remains focused on cash generation, customer service and long-term value creation for all stakeholders. The group delivered a resilient performance in a challenging market, supported by a strong balance sheet and disciplined capital allocation. The board remains focused on cash generation, customer service and long-term value creation for all stakeholders. The group delivered a resilient performance in a challenging market, supported by a strong balance sheet and disciplined capital allocation. The board remains focused on cash generation, customer service and long-term value creation for all stakeholders.

Consolidated income statement

For the year ended 31 December 2025

	Notes	2025 £m	2024 £m
Insurance revenue	4	3,000	2,800
Insurance service expenses	5	(2,400)	(2,250)
Insurance service result		600	550
Net investment income	6	350	300
Other operating expenses		(250)	(240)
Profit before tax		700	610
Income tax expense	7	(175)	(152)
Profit for the year		**525**	**458**

Consolidated statement of financial position

As at 31 December 2025

	Notes	2025 £m	2024 £m
Assets			
Cash and cash equivalents	8	800	750
Financial investments	9	9,000	8,600
Reinsurance contract assets	10	1,200	1,150
Property and equipment		300	310
Total assets		**11,300**	**10,810**
Liabilities			
Insurance contract liabilities	11	8,500	8,200
Borrowings	12	600	600
Other liabilities		400	380
Total liabilities		**9,500**	**9,180**
Equity			
Share capital		200	200
Retained earnings		1,600	1,430
Total equity		**1,800**	**1,630**